Lohia Corp Ltd

Concall tracker, Q2-2027 folder · NSE: LCL · BSE: 544839 · Kanpur, Uttar Pradesh

Lohia Corp makes the machines that turn plastic granules into woven sacks and fabric: tape extrusion lines, circular looms, coating, printing and bag-making lines. Its buyers make cement, fertiliser and grain bags, jumbo bags (FIBCs), tarpaulins and geotextiles, in India and over 100 countries. It also sells spares and service, and is starting out in plastic recycling and monofilament machines. Plants are in Kanpur, Bangalore, the US and Italy. It listed on the exchanges in 2026.

1. Snapshot

Number	Value	Plain read
Market cap	₹5,458 cr	What the whole company is worth on the stock market.
Sales, FY26	₹1,655 cr, up 26%	A good year; FY25 was ₹1,310 cr.
Sales, first half FY27	₹1,097 cr, up 50% (company figure)	Growing much faster this year; the Sep quarter alone was up 42-44%.
Operating margin (OPM)	About 20% (FY26), 19-21% in recent quarters	₹20 of each ₹100 of sales left after running costs. Was around 8% in FY24.
Net profit, FY26	₹206 cr	Up from ₹119 cr in FY25.
Return on capital (ROCE)	48%	Very high: each ₹100 put into the business earns about ₹48 a year.
Debt	₹81-115 cr borrowings vs ₹238 cr cash	More cash than debt (net cash).
P/E	22.5	About 22 years of current profit. Reasonable for its growth, but this is a cyclical capital-goods maker.

2. Concall coverage

Quarter	Call date	Read?
Q1 FY27 (first call as a listed company)	20 Aug 2026	Read in full
Q2 FY27	6 Nov 2026	Read in full

Only two calls exist because the company listed in 2026. The consistency read is therefore thin: there's barely one quarter of promises to check.

Latest concall highlights, Q2 FY27 (6 Nov 2026)

- Sales ₹594 cr, up 42% on a year ago and 18% on the June quarter. Profit ₹77 cr, up 48%.
- Order book about ₹2,000 cr, up from ₹1,778 cr in June and about ₹1,000 cr a year ago. Export orders at an all-time high (about ₹500 cr).
- Margin dipped to 19.4% from 19.9% because metal prices rose on orders priced six to nine months earlier. Price lists were raised in February and July. Sustainable margin guided at 19-21%.
- Growth to slow: FY28 guided at 10-15% after this year's jump, and the CFO sees "a little slowdown" in order intake as the industry adds capacity.
- Plants can handle about ₹2,500 cr of sales; FY27 should land near ₹2,400 cr, so a new assembly shed is planned and about ₹75 cr of capex is going in this year. Recycling machines should bring ₹30-35 cr this year and double next year.

Business mix & capacity
Domestic about 63% / exports about 37% of Sep-quarter sales (59/41 in June). Historically exports were 45-55%; management expects them to settle near half again.
Capacity: no utilisation figure given (vendors do much of the machining). Management says current plants top out around ₹2,500 cr of sales, which FY27 will nearly reach.

3. Earning trigger thesis

The driver is a capex cycle among India's woven-sack and technical-fabric makers. After two or three quiet post-COVID years, customers are ordering complete new lines again, helped by cement's move to block-bottom bags, BOPP bags, and the single-use-plastic ban pushing demand toward woven products. The order book has doubled in a year, and with fixed costs rising slower than sales, margin climbed from about 8% to about 20%. It's already in the numbers. The catch is that this is a cycle, and management itself guides slower growth next year.

Trigger	What management said	Evidence so far	Time horizon	Strength
Domestic capex upcycle	"Peak is still to be achieved" (Aug 2026); traction to last at least five or six months (Nov 2026)	Domestic sales up 83% in Sep quarter; order book about ₹2,000 cr	FY27	Strong now, cyclical
Operating leverage on margin	20% is the "new normal" (Aug 2026)	19.9% then 19.4%; first half 19.7% vs 16.7%	FY27-FY28	Strong
Exports back to half of sales	Exports to stabilise near 50%	Export order book at a record, but export sales up only 2%	FY28	Moderate
Recycling, monofilament, conversion machines	Recycling revenue to double next year	One to two recycling machines a month; small today	FY28+	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already net cash; no repayment plan discussed.
New business	Yes	"We are seeing a good traction also in the recycling machinery segment... executing one to two recycling machineries a month" (Nov 2026)
Margin up	Yes	Margin "primarily attributable to higher volumes, operating leverage, and better efficiencies"; 20% "the new normal" (Aug 2026)
New management	No	Family-run; no change.
New capacity	No	A new assembly shed is planned "in time to come", no date.
Big orders	Yes	"Outstanding order book as of 30 September, 2026 stood at INR2,000 crores... grew 12% sequentially and 93% Y-o-Y" (Nov 2026), over a year of sales at current pace
Turnaround	No	Margin recovery from COVID lows, but the business was never loss-making in the period.
Promoter buying	No	Not discussed.

Single concrete driver: Indian sack and fabric makers are buying complete new production lines again, which has doubled the order book in a year and lifted margins on fixed costs.

3c. Margin bridge

Operating margin was about 21% in the Sep 2025 quarter, around 20% for FY26 and 19.4% now, against roughly 8% in FY24. The big rise came from volume spreading fixed costs. The small dip this quarter came from higher metal prices on fixed-price orders, which management expects to recover through price-list hikes on new orders. It guides 19-21%. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2026	20% margin is the new normal	19.4% in Sep quarter, hit by metal prices; first half 19.7%	Partly
Aug 2026	Order book keeps building; peak not yet reached	₹1,778 cr to about ₹2,000 cr	Delivered
Aug 2026	Exports to come back toward half of sales	Export share fell to 37%, though export orders hit a record	Too-early
Nov 2026	Second half about 55% of the year; FY28 growth 10-15%	To be checked	Too-early

Narrative drift: Two calls, same story: execute the order book, hold a 20% margin, build recycling and other new machines. Management was candid about the slowdown ahead and the metal-price squeeze, which is a good sign. There isn't enough history to judge whether they deliver over a full cycle.

5. Bottom line

Durable earning trigger? → YES

A record order book worth more than a year of sales gives clear sight of the next two quarters, and margins have already reset higher. It's a capex cycle, though, and management is guiding growth to slow sharply in FY28 and order intake to cool as customers' new capacity comes on. Durable for this year; less sure beyond.

Management consistent? → MAYBE

Nothing they've said so far has been broken, and they've been frank about the slowdown. But two calls is too short a record to call it consistent.

6. Checkpoints for next quarter

- Order book holds at or above about ₹2,000 cr
- Operating margin stays within the guided 19-21% band
- Second-half sales come in heavier than the first half, as guided

Sources: Screener.in financials and 2 concall transcripts (Aug and Nov 2026). This is not investment advice. Do your own due diligence.